MODULE 02 · CASE STUDY 10 · PRE-READ FOR CLASS 10

Two Cases: Three Feelings, Three Screens

Cult.fit, boAt and Royal Enfield · A cinema ticket, a shirt and a membership

READ THIS BEFORE CLASS

You already know all six of these companies, and you have probably given money to at least one of them this month. That is exactly why this works. The difficult part is not understanding what they do. It is being honest about why you, or somebody in your family, paid.

Read Case B with your phone next to you. Every mechanism described in it can be found on a real screen within about ten minutes, and finding them yourself is worth more than reading about them. Do not skip either numbers section: they are what turn a nice story about feelings into a business lesson.

30–40	2	8
Minutes to read	Cases	Questions to bring

Zenith School of AI · Customer Discovery · Semester 1

CASE A

Three Companies, Three Feelings

One sells you the way out of guilt. One sells you the feeling of being included. One sells you the person you want to be seen as. All three are paid in rupees.

READING TIME: 15–20 minutes

HOW TO READ THIS CASE

Keep one question running in the back of your head the whole way through: at the exact moment the money left the account, what was the person feeling? Not what they said afterwards. What they were feeling in the sixty seconds before.

Read all three companies before deciding which has the better business. The obvious answer is wrong, and the numbers section is where you will find out why.

1 6:40 in the Morning

The alarm went off eight minutes ago. Somebody in a flat in Gurugram or Lucknow or Indore is lying under a blanket with a phone in their hand, and on the screen is a booking for a 7:15 fitness class.

There is no external force in the room. Nobody is watching. The class is already paid for, so the money is gone whether they go or not. Missing it costs nothing that a reasonable person would call a cost. And yet, in about sixty seconds, this person is either going to get up or not get up, and whichever way it goes, a business somewhere has already made a bet on the outcome.

Everything you have studied so far describes the situation this person is in. You could list what they are unhappy about: they feel unfit, they dislike how they look in photographs, they have been meaning to start for months. You could list what they want: energy, and to be the kind of person who exercises. You could draw out exactly what they say, think, feel and do at 6:40. You could write down what they are really trying to get done — when I wake up feeling sluggish and behind, I want to feel like I am doing something about it, so I can stop carrying that low-grade disappointment around all day.

All of that is true, and none of it tells you whether they get up.

WORTH PAUSING ON

Ask that person at 6:40 why they got up and they will say 'because I want to be healthy.' That is a true statement about their life. Work out why it is a false statement about that particular morning, and write down what you think was actually different about it.

Bring your answer. The class opens on this exact scene, and the first four answers the room offers are all the same answer wearing different clothes.

2 Cult.fit

Cult.fit began in 2016 as Cure.fit, founded by Mukesh Bansal and Ankit Nagori. Bansal had built and sold Myntra, the fashion marketplace, to Flipkart; Nagori had been Flipkart's Chief Business Officer. Two people who had spent their careers moving physical goods through the internet decided that the next hard problem in India was not selling things to people, but getting people to show up. Showing up, not signing up. Nearly every product decision that follows comes from that one sentence.

Look at the business they were entering. The traditional Indian gym sells an annual membership, typically somewhere between ₹6,000 and ₹18,000 depending on the city and how many mirrors it has. Its economics are simple and slightly grim: it is priced on the assumption that most members will stop coming. If every member who paid actually turned up every day, the floor would be unusable and the equipment would need replacing constantly. The traditional gym is, financially, a business that sells hope in January and quietly profits from abandonment by March. Nobody at that gym designs for the 6:40 moment, because the gym has already been paid.

Cult.fit inverted this. Instead of an annual membership giving unlimited entry, the core product is a booked class: a specific 50-minute slot, at a specific centre, with a named trainer, and a limited number of spots. That one design change does an enormous amount of work. If you do not turn up to an unlimited gym, nothing happens. If you do not turn up to a booked class, the app has to do something about it — and what Cult.fit chose to do was charge a small late-cancellation or no-show penalty and mark the miss visibly in your history.

Layer on the streak, which is the count of consecutive days or weeks you have shown up. The weekly target: 'you have completed 3 of your 5 sessions'. The trainer who knows your name and notices your absence. And the fact that classes are group classes, so eleven other people watched you not be there.

Each of these is the same mechanic in a different costume, and it is worth working out what the mechanic is. None of them are about fitness. A person who genuinely wanted to get fit and nothing else could achieve it for ₹800 a month at the gym below their building, or for free in a park.

Be fair to the company here, because this is where students turn cynical and stop thinking. Cult.fit is not tricking anybody. The customer wants to go, and has said so by paying. The company is not creating a desire that did not exist. Where exactly the line sits between supplying a force somebody asked for and pushing somebody in a direction they never chose is one of the things the class will have to settle, and it is harder than it looks.

3 boAt

boAt was founded in 2016 by Aman Gupta and Sameer Mehta, under a company called Imagine Marketing. Gupta had worked at Harman, the audio company that owns JBL, so he knew the category from the inside; Mehta ran a manufacturing and trading business. Their observation was not about sound. It was about a gap on the shelf.

In 2016, if a nineteen-year-old in India wanted earphones, the choices were roughly: a ₹300 unbranded pair that broke in four months, or a ₹6,000 Sony or Bose pair that cost more than the phone some of them were plugging it into. There was almost nothing in between that a college student could hold up in a hostel corridor without either embarrassment or guilt.

boAt built for that middle: a ₹1,200 to ₹2,500 product with loud colours, aggressive industrial design, and — crucially — a name and a look that were instantly identifiable from across a room. Put the same earphones inside a plain white box, sell them at the same price with the same sound, and you have a much smaller company.

The company then spent enormously on making sure that recognition existed. boAt did not run traditional 'our product has better bass' advertising. It put its products on cricketers, on musicians, on hundreds of small and mid-sized creators, and it gave its customers a name: boAtheads. A brand that gives its customers a name is not describing a product. It is describing a group, and the moment there is a group, the decision the customer is making changes completely.

Notice how different this is from Cult.fit. Nothing is being taken away from anybody. There is no penalty, no streak, no number going to zero. The pull is sideways rather than downward. It is also strongest in a specific age band, and it is worth asking yourself why that particular stretch of life and not another.

There is a cost to building a business on this, and it is not obvious until you look at the accounts. Keep it in mind when you get there: what the group thinks is normal moves, sometimes within eighteen months, and the moment a different brand becomes the one everyone on the floor has, the same force starts working against you.

4 Royal Enfield

Royal Enfield is the oldest motorcycle brand still in production anywhere in the world, but the business you see today is essentially a rebuild that began around 2000, when Siddhartha Lal — then in his mid-twenties, and the son of the family that controlled Eicher — took over a division that was losing money and was widely expected to be shut down or sold. The bikes at the time were unreliable, hard to start, and leaked oil.

The rational move was to fix all of that by making the motorcycle more like a Japanese motorcycle: lighter, quieter, more efficient, cheaper to run. Lal did fix the reliability. What he refused to fix was the character. The weight stayed. The single-cylinder thump stayed. The upright riding position stayed. The visual language of a 1950s British motorcycle stayed.

Judged as transport, a Royal Enfield in 2010 was worse than a Honda on almost every measurable axis a customer could name: heavier, thirstier, slower to service, more expensive to buy. Judged as transport it is still worse today. And it outsells almost everything in its price band.

A Hero Splendor at ₹80,000 says nothing about you, which is exactly its virtue: it is honest, efficient transport for people whose bike is not the point. A Royal Enfield at ₹1.8 to ₹2.2 lakh says something specific and legible to every other person on the road. The sound alone is a broadcast — you hear the bike arrive before you see it, and everyone within eighty metres knows what it is. In India the classic purchase moment is the first serious job, or the year after it: the first large amount of money that is genuinely the buyer's own.

This produces a consequence that consistently surprises students. Making the engine quieter would be an engineering improvement and a commercial disaster. Making the bike substantially lighter would be an engineering improvement and would remove the physical sense of substance that a rider reads as seriousness. When Royal Enfield builds a new platform, a great deal of deliberate engineering effort goes into preserving characteristics that a purely functional engineer would have removed on day one.

> **HOLD THIS THOUGHT**
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> Notice who is watching in each of the three companies. With Cult.fit, nobody else ever needs to know whether you went. With boAt, about twenty people see you every day. With Royal Enfield, it is strangers at a traffic light and relatives at a wedding, people who will never speak to you.

> Before you read the numbers, write down a prediction: as the audience gets wider and less personal, what happens to the amount of money people will spend? Then check your prediction against Section 6.

5 The Same Person, Seven Days

It would be convenient if each person had one feeling that moved them. They do not. Follow one person through a single week.

Monday, 6:40 am, alone in a room. She gets up for the class because the streak is at 19 days and going to zero feels worse than the cold floor does. Nobody sees this decision. Nobody will ever know it happened. The entire force is internal, and the amount of money involved is small — the monthly pack works out to a few hundred rupees per session.

Thursday, 4 pm, in a hostel common room. Three people around her are wearing the same brand of earphones and one of them just made a mild joke about hers. She is on a shopping app within the hour. She will tell herself the old pair had a loose wire, and there may even have been a loose wire, but the wire had been loose for five weeks and the joke was twenty minutes ago. Roughly ₹1,500 changes hands, and the trigger was a sentence.

Saturday, at a cousin's wedding, in front of forty relatives. Somebody asks what she is doing now, and she is standing in a courtyard where every answer is being measured. This is the moment that, six months later, produces a purchase of something significantly beyond her comfortable budget: an outfit, a phone, eventually a vehicle. The amount is the largest of the three by an order of magnitude, and the audience is the least personal.

Same person, seven days, three different forces, three different price points. There is a practical instruction hidden in that, and it is worth trying to write it down in one line before the class does it together.

6 The Numbers

Two definitions before the figures. **Gross margin** is what is left from every ₹100 of sales after you pay the direct cost of delivering that sale — for a motorcycle, the steel and the labour; for earphones, the factory and the shipping; for a fitness class, the trainer, the rent and the electricity. It is not profit. Profit is what is left after marketing, salaries, technology and everything else. **EBITDA margin** is a rougher measure of operating profitability before interest, tax and the accounting charge for wear on assets. Read it as: is the core business making or losing money before the financing gets involved?

Cult.fit. In FY24 the parent company reported operating revenue of about ₹927 crore and total income of roughly ₹1,027 crore, of which fitness subscriptions were about ₹670 crore, around 72% of the total, with sportswear and equipment making up most of the rest. Net loss for the year was about ₹535 crore, essentially flat against the previous year, on an EBITDA margin of roughly minus 23%. Advertising and promotion alone was about ₹188 crore, up more than 40% year on year. Read that as a sentence rather than a set of figures: this business spent nearly one rupee in five of its revenue on marketing and still lost roughly half of every rupee it took in. The company has since narrowed its losses substantially.

boAt. In FY25 the parent, Imagine Marketing, reported consolidated revenue of about ₹3,098 crore and returned to profit with roughly ₹60 crore at the consolidated level, after a loss of about ₹80 crore the previous year. EBITDA was around ₹142 crore. Do that division: on ₹3,098 crore of sales, EBITDA is about 4.6%, and net profit is about 2%. This is a company selling three thousand crore rupees of product and keeping about two rupees of every hundred.

Royal Enfield. In FY25 its parent, Eicher Motors, reported revenue of roughly ₹18,800 crore, EBITDA of about ₹4,712 crore, and net profit of about ₹4,734 crore, on Royal Enfield volumes of 1,002,893 motorcycles — the first time the brand crossed a million units in a year, with domestic sales of about 902,757 and exports of about 100,136. Run two calculations yourself. Average realisation: ₹18,800 crore divided by roughly one million motorcycles. And EBITDA margin: ₹4,712 crore on ₹18,800 crore. For context, mass-market Indian two-wheeler manufacturers typically operate in the mid-teens.

Put the three margins side by side: roughly minus 23%, roughly 4.6%, roughly 25%. It is tempting to conclude that the third company simply chose the best thing to sell and everybody should do that. Before you settle on that, notice how long each of the three took to build, and who built theirs from nothing.

7 The Question Case A Sets Up

She wanted to be fit on all eleven mornings she did not get up.

So what was different about the twelfth? Answer it in a sentence, and make the sentence specific to that morning rather than to her life in general. The class begins with the room's four usual answers, three of which turn out to be the same one.

CASE B

Three Screens

A cinema ticket, a shirt and a membership, and the small design decisions that decided all three before the customer thought they had decided anything

READING TIME: 15–20 minutes

HOW TO READ THIS CASE

This case is different from the ones you have read so far. There is no dramatic founding story and nobody nearly goes bankrupt. What there is instead is a set of very small design decisions — where a number is placed, what it sits next to, how many seconds you get, what happens if you do nothing — each of which sounds trivial and each of which is worth hundreds of crores.

Read it with your phone beside you, and when a mechanism is described, go and find it on a real screen. And resist the urge to decide whether each one is good or evil. Most of them are neither, and why that is so will take the whole class to settle.

1 The Last Screen Before the Money Moves

Case A was about the forces inside a customer. This one is about the other side of the glass.

Between the customer's desire and the customer's money there is almost always a screen, and somebody designed that screen. They decided what number appears first. They decided what that number sits next to. They decided whether a countdown appears, how many seconds it runs for, whether anything is already ticked, and what happens if the customer closes the app and comes back tomorrow. None of those decisions change the product. All of them change the outcome.

Here is the uncomfortable part, and it is worth sitting with before you meet the companies. There may be no neutral way to present a choice at all. Show three plans and the middle one gets picked more often. Show two and the expensive one changes how the cheap one looks. Show one and the customer goes hunting for something to compare it against. Even doing nothing is a decision: a form with nothing pre-selected produces a different result from the same form with the middle option pre-ticked, and both are choices somebody made.

Three businesses follow. The first sells something genuinely finite — there are only so many seats in a hall. The second sells from effectively unlimited stock. The third sells a membership. Watch what changes between them.

2 BookMyShow

BookMyShow was founded in 1999 and properly built out from 2007 by Ashish Hemrajani, Parikshit Dar and Rajesh Balpande, operating under Big Tree Entertainment. Hemrajani's original idea came from watching ticketing work in South Africa; the first version nearly died in the dot-com collapse and was rebuilt as a much less glamorous operation running ticketing counters and call centres before the internet in India was ready. Today the platform handles over 15 million ticket bookings a month across more than 650 cities.

Now look at what happens when you book. You pick a film and a show, and a seat map appears: a picture of the hall with green seats free and grey seats taken. That map does something no list of numbers could do. You are not told there are 40 seats left. You can see that the middle rows are almost gone and that the three seats you want sit beside a rapidly filling block.

Then you select seats, and a timer starts, typically a small counter giving you a handful of minutes to complete payment before the seats are released. Students almost always read this as pressure. It is also an engineering necessity: without a hold, two people selecting the same seat at the same moment would both pay and one would arrive at the cinema to find someone in their chair. The hold has to exist and it has to expire. Hold that thought, because in class you will put it next to a timer on a product where nothing is ever held and nothing is ever released.

Then comes the part that matters most commercially. At the final screen, the ticket price is joined by a convenience fee. It is a small number, a few tens of rupees per ticket, and it appears after you have chosen the film, the show, the seats and the time. By that point you have made four decisions and invested several minutes, and the fee arrives against a background where the alternative is throwing all of that away and driving to the cinema. Almost nobody does.

Two separate things are stacked there, and it is worth naming both before the class does. One of them is fair. The other one has, since December 2023, had a name in Indian consumer law.

3 Myntra

Myntra started in 2007 selling personalised gifts, moved into fashion, and was acquired by Flipkart in 2014. Today it is one of India's two dominant fashion platforms.

Where a cinema seat is genuinely finite, almost nothing on a fashion marketplace is. A shirt in a warehouse is not taken from you when somebody else buys one. There are usually more, and if there are not, a nearly identical one exists three scrolls down. Which means every signal of scarcity on the screen has to be built, and the platform has built a great many of them.

Start with the two numbers on almost every item: a struck-through figure and a lower one. The struck-through figure is doing the entire job. A shirt priced at ₹1,180 alone is an expense. The same shirt at ₹1,180 next to a crossed-out ₹2,499 is a saving of ₹1,300, and customers describe it in exactly those words even though ₹1,180 has just left their account and nothing has arrived in it.

Then the sale itself. Myntra's End of Reason Sale is not a discount period. It is a scheduled, named, advertised event with a countdown running for weeks in advance — the company has effectively manufactured a festival and put it in the customer's calendar. Be careful before calling that dishonest: the sale really does start and end, and the prices really do change. What it does is concentrate a quarter's worth of buying intent into a window the company chooses, which is how a platform gets to plan its inventory and its logistics around a spike it created rather than one it received.

Then the loyalty programme. Myntra Insider gives points and tiers. A message saying you are 300 points from the next tier is not offering you anything. It is telling you about a distance, and distances make people walk.

And note where the money actually comes from on a marketplace. Of FY25 revenue of about ₹6,043 crore, logistics was about ₹2,919 crore, marketplace services about ₹2,052 crore, and advertising — brands paying for placement on the screens just described — about ₹914 crore, up 28%. The screen is not only where selling happens. The screen is itself the product being sold to the brands.

4 Amazon Prime

Prime began as a simple proposition: pay an annual fee, get faster delivery. In India it launched in 2016 at ₹499 for the first year and has been repriced upward since. The exact figure matters less than the design logic, which is that the annual fee is not primarily a revenue line.

Consider what the fee does the day after it is paid. The money is gone and cannot be recovered, which means every rational calculation from that point should ignore it entirely. Human beings do not do this. Having paid, the customer now wants to feel the payment was sensible, and the only way to produce that feeling is to use the benefit. So they buy more often, and they choose the seller with the Prime badge over a cheaper seller without it, because the badge is what makes the fee feel justified. A one-time payment has become a standing reason to prefer one shop over another — and the company does not have to do anything to keep it running. The customer maintains it.

Two more things sit on top. The free trial gives something before asking for anything, and human beings carry a strong and largely unconscious sense of obligation towards whoever gave first. A free trial is not a sample. It is a small debt.

And Prime is not one thing. It is delivery plus video plus music plus assorted other benefits, and when a customer tries to decide whether it is worth the money, they cannot, because there is no honest way to price 'Amazon Music to me, personally, this year'. A proposition that cannot be evaluated cannot be rejected on evidence, so the decision falls back on feeling.

Then the last piece, and the one that ties this case back to Case A. At renewal, the customer is shown what they will lose. Not what they will get. What expires.

5 The Same Customer, One Evening

At 7:20 pm he books cinema tickets. The seat map shows the good rows filling. He picks three seats together, a timer starts at five minutes, and he pays within ninety seconds without any sense of having been rushed. Afterwards, asked about it, he says the timer was fine — obviously they cannot hold seats forever.

At 10:40 pm he is on a shopping app he was not intending to buy anything from. A shirt shows ₹1,180 against a struck-through ₹2,499, a banner says the sale ends in two hours, and a line under the size selector says only two are left. He buys. Three days later the item is still listed, still at ₹1,180, still with two left, and the sale banner is running with a new end time. He feels, correctly, that something was done to him.

> **WORTH PAUSING ON**
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> Same person, same evening, similar amounts of money, near-identical mechanisms on the screen. He resents one of the two transactions and not the other. Write down, in one sentence, what the actual difference is — and be careful, because the obvious answer (one was a bigger company, one was late at night, one was planned) is not it.
>
> Then a second question with a number in it rather than a feeling. The false claim probably raised the chance he bought tonight. Name the costs it creates for that company over the following three weeks, and say which of the two a company is more likely to measure.

6 The Numbers

Two definitions. **Profit after tax**, or PAT, is what is left for the owners after every cost including tax. **Net margin** is PAT divided by revenue: out of every ₹100 the business took in, how many rupees did it get to keep?

BookMyShow. FY25 total revenue of roughly ₹1,869 crore, up about 30% on the previous year, of which operating revenue was about ₹1,831 crore, and PAT of about ₹192.5 crore against roughly ₹109 crore the year before. Online ticket sales were about ₹828 crore of that and live events about ₹756 crore. Work out the net margin, and then set it against this: the company owns no cinemas, produces no films and holds no inventory, while the exhibitors who build the halls, buy the projectors and run the air conditioning have spent much of the last few years struggling to make money at all.

Myntra. FY25 revenue of about ₹6,043 crore, up 18% on ₹5,122 crore, and profit after tax of about ₹548 crore against roughly ₹31 crore the year before. Sit with that pair for a moment, because it is the most instructive one in the case. Revenue grew 18%. Profit grew roughly 1,700%. Work out for yourself how both of those can be true at once, and what it implies about how much effort a business like this will spend on a change that moves conversion by half a percentage point.

One more figure completes the picture, and it should be read alongside the profit. Myntra's advertising and promotion expenses for the year were about ₹2,105 crore, up 37%. So a business that earned about ₹914 crore selling attention spent about ₹2,105 crore buying it. That is not a contradiction. It is the shape of a marketplace, and it tells you something important that any student who leaves this class thinking a clever checkout screen is a business will have missed.

Finally, the sharpest single number here. BookMyShow's convenience fee is charged per ticket, is a small fraction of the ticket price, and costs close to nothing to collect: no additional staff, no additional inventory, essentially no additional server load. Set that against a net profit of about ₹192.5 crore and more than 15 million bookings a month, and you do not need the internal split to see the shape.

7 The Question Case B Sets Up

A timer on a held cinema seat and a timer on an infinite shirt are, on the screen, identical. A struck-through price on a product that genuinely sold at that price last month, and one on a product that has never been sold at any price but the discounted one, are identical. There is no way to tell them apart by looking at the interface.

So here is where the class opens. **If the mechanism is the same in both cases, what exactly is the test?** Come with a version of it. It should be something you could apply in ten seconds, standing in front of a real screen, with no access to the company's internal data.

BEFORE YOU COME TO CLASS

> **HOW TO USE THIS PAGE**
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> Four questions per case. Spend twenty-five minutes on the set and write your answers down, a line or two each. They will not be collected or graded, but you will be asked for them out loud, and 'I didn't think about it' is a much worse position to be in than a wrong answer.
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> There are no model answers at the back of this document. That is deliberate.

On the Three Feelings

1. **The twelfth morning.** Bring your one-sentence answer, and make it about that morning rather than about her life. Then name the smallest change Cult.fit could make that would break it.

2. **Take something you bought in the last three months for more than you strictly needed to spend.** Write down what you told yourself at the time, and then write down who would have seen it. Be honest about whether those are the same reason.

3. **Minus 23%, 4.6%, 25%.** Argue that every founder in this room should build the third kind of business. Then dismantle your own argument using the founding dates in the case.

4. **boAt's position depends on what a group thinks is normal, and groups change their minds.** Name a brand that had this and lost it, from your own school or hostel or neighbourhood. Say roughly how long it took, and what the first sign was.

On the Three Screens

5. **Open one app you actually use and go as far into a purchase as you can without paying.** Write down, word for word, every number and claim on the last screen before payment. Bring the exact words, not a description of them.

6. **The convenience fee appears after four decisions rather than before the first one.** Say what would change if it appeared first, both for you as a customer and for the company's profit. Then decide whether you think the current placement is acceptable, and commit to an answer.

7. **Your ten-second test.** Bring the version you wrote for Section 7 of Case B. It has to work from the outside, on a live screen, with no internal data. Be ready for the room to try to break it.

8. **Make the case against this case.** Argue that everything described here is ordinary selling, that shops have arranged their windows this way for two hundred years, and that the whole subject is students being taught to be suspicious. Make it as strongly as you can, then say where the argument runs out.

Come with your eight answers and one genuine disagreement. Both cases are written to make a point. If some part struck you as unfair to a company you like, or too forgiving of one you do not, say so out loud. Those are usually the most useful ten minutes of the class.